

Important: New employees also need to be given the Fair Work Information Statement. Visit fairwork.gov.au/fwis

For help in your language visit fairwork.gov.au/language-help

Summary

There are rules that limit the use of fixed term contracts. From 6 December 2023, employers can't employ someone on a fixed term contract:

- ▶ that is for longer than 2 years
- ▶ that has more than one extension option, or
- ▶ in certain circumstances where there are consecutive contracts.

There are exceptions to the rules that mean they don't apply to all fixed term contracts.

These limitation rules don't apply to casual employees.

Read this statement to find out more.

Contracts before 6 December 2023

These rules apply to new contracts entered into **after** this date. However, fixed term contracts entered into before 6 December 2023 **do have to be considered** when applying the consecutive contracts limitation for a new fixed term contract entered into on or after 6 December 2023.

What is a fixed term contract?

You're on a fixed term contract if you enter into a contract with an employer that terminates at the end of an identifiable period. For example, the contract ends after:

- ▶ a set date or period of time, or
- ▶ a season.

Employees engaged on fixed term contracts who are engaged on a full-time or part-time basis have similar **conditions and entitlements** as permanent (ongoing) employees. This includes leave entitlements.

Casuals can be employed on fixed term contracts except for certain higher education roles not in the state public sector.

There are **2 main differences** between full-time or part-time fixed term employees and permanent employees:

	Fixed term	Permanent
Notice of termination and redundancy	✗ Not eligible if employment finishes at the end of the contracted period	✓ Generally entitled to notice of termination and redundancy
Unfair dismissal	✗ Generally not eligible if employment finishes because of the end of the contracted period	✓ Eligible for unfair dismissal after 6 months (12 months for employees of a small business)

For more information on fixed term employment, visit fairwork.gov.au/fixed-term-employees

Important:

Fixed term employees are not the same as independent contractors (sometimes called ABN workers or subcontractors). Independent contractors usually negotiate their own fees and working arrangements, have the ability to delegate or subcontract work and can work for more than one client at a time. For information on independent contracting, visit fairwork.gov.au/contractors



What are the limitations on using fixed term contracts?

From 6 December 2023, there are limitations (also called rules) about the use of fixed term contracts after this date. If any of these rules are not followed, the contract won't end automatically on the end date specified in the contract.

1: Time limitations

A fixed term contract can't be for longer than 2 years. This includes any extensions or renewals.

2: Renewal limitations

A fixed term contract can't have an option to:

- ▶ extend or renew the contract so that the period of employment lasts longer than 2 years, or
- ▶ extend or renew the contract more than once.

Example: Renewal limitations

Chelsea is given a contract for 6 months which has a right for her employer to extend it twice for up to 4 months each time.

This contract breaches limitations because a fixed term contract can't have an option or right to extend it more than once, even if the total period is less than 2 years.

3: Consecutive contract limitations

Employees can't be offered a new fixed term contract if all points from **Column A** apply and one or more points from **Column B** apply:

Column A All points apply	Column B One or more points apply
▶ The previous contract was also for a fixed term. ▶ The previous contract and the new contract are for the same or similar work. ▶ There is substantial continuity in the employment relationship between the previous and new contracts.	▶ The previous contract had an option to extend that was used. ▶ The total period of employment for both the previous and new fixed term contract is more than 2 years. ▶ The new fixed term contract contains an option to renew or extend. ▶ There was an initial contract in place (before the previous contract): > that was for a fixed term, and > that was for the same or similar work, and > where there was substantial continuity in the employment relationship.

Example: Consecutive contracts

Ahmad was employed on a one year fixed term contract as a site engineer for a construction company. The contract included a one year extension option, which his employer used. At the end of the contract extension, Ahmad signed a new fixed term contract for one more year for the same position.

This contract breaches the limitations for reasons including:

- ▶ the total employment period would be more than 2 years
- ▶ his initial contract had an option to extend that was used by his employer, and
- ▶ the contract is for the same position.



What are the exceptions to the fixed term contract rules?

The rules (outlined on the previous page) don't apply to all employees on fixed term contracts. The table below shows which fixed term contract arrangements are not covered by the rules. These are called the exceptions to the limitations.

The exception	Example
Specialised skills for a specific task Work only on a specific task that requires your specialised skills.	Vivian is a technology professional who is engaged to provide specialised technology support on a particular project. Her contract is for a period of 6 months, with 3 options to extend for one month in case of delays.
Training arrangements A contract for a formal training arrangement made under State or Territory law. This is an arrangement that combines work with study for a qualification like an apprenticeship or traineeship.	Javier has started a plumbing apprenticeship and has been given a 4 year fixed term contract for the duration of his apprenticeship.
Essential work Performing essential work during a peak demand period.	Kevin is an experienced ski patroller with strong first aid skills. He is hired by a ski resort on a 2 month contract during the ski season, with the opportunity for 2 renewals of one month each depending on ski conditions.
Emergency circumstances or temporary replacement of an employee Working in emergency circumstances, or if you're replacing someone who is temporarily away.	Gerry is employed on a fixed term contract to replace Christina who is taking 24 months parental leave. During this time, Christina has another child and takes an additional 12 months leave. Gerry's contract is renewed for an additional 12 months to cover this leave period.
High-income employees If your guaranteed salary is more than the high-income threshold in the year the contract is entered into. For information on how the high-income threshold is calculated for part-time or part-year employees, go to fairwork.gov.au/fixed-term-employees	Esther is hired as an IT project manager earning \$240,000 per year on a 3 year fixed term contract.
Positions dependent on funding from the government Where the employee's position is funded by government funding (completely or in part), the funding is for more than 2 years and the funding is unlikely to be renewed. This isn't the same as working for a government agency or department on a fixed term contract.	Lu works for a community organisation. She is engaged on a 3 year fixed term contract to help create a community garden and outdoor space. The project is fully funded over 3 years by the local government and the funding ends at the end of this period.
Governance positions A contract for a governance position, such as a position on a board, that is for a limited time (based on the rules of the corporation or association).	Sunita has been given a 5 year contract as an executive on a board of directors for a land-management council.
Award provisions If an award covers your employment and it allows any of the circumstances limited by the rules. To see a list of all awards, visit fairwork.gov.au/listofawards	Ravi is an academic researcher covered by the Higher Education Industry Academic Staff Award. Ravi is employed on a 4 year research contract in accordance with the rules in the award.
Organised sport Some employees primarily working as athletes, coaches, performance support professionals or match officials, if employed by certain sporting organisations or bodies.	George is an experienced football coach engaged on a 2 year fixed term contract coaching a national team. There is the option for an additional 2 year extension if the team makes it to the grand final.
High performance sport (international events) Some employees primarily working to directly support the administration or organisation of an international event for a high performance sport that is not regularly held in Australia, if employed by certain organising bodies.	Emily is a communications manager employed on a 3 year fixed term contract by an organising body for an elite international soccer event in Melbourne to lead marketing activities for that event.

Additional temporary exceptions for contracts under the Fair Work Regulations

These temporary exceptions only apply if the contract is entered into on or after **1 November 2024** and before **1 November 2026**, and the employee is not covered by the Higher Education Industry Academic Staff Award or Higher Education Industry General Staff Award:

- Charity and not-for-profit sector:** Some employees engaged for a specific program or project and whose performance of work is funded (wholly or in part) by a government grant or procurement (with some exceptions), by certain philanthropic entities, or as a result of a testamentary gift or contributions provided for certain charitable purposes. This exception only applies if the employee is engaged by a relevant entity with a total annual revenue of less than \$10 million.
- Medical or health research sector:** Some employees engaged for a specific program or project, whose performance of work is funded (in whole or in part) by government funding, by certain philanthropic entities or for certain charitable purposes, and whose work primarily involves carrying out certain types of medical or health research. This exception only applies if the employee is engaged by a relevant entity with a total annual revenue of less than \$100 million.

Some entities may exceed the total annual revenue thresholds specified above if they report revenue to the Australian Charities and Not-for-profits Commission as part of a group.

For more information on the Fair Work Regulations visit fairwork.gov.au/fixed-term-employees

What happens if a contract doesn't meet the limitations and exceptions rules?

If your fixed term contract doesn't meet the rules, the end date in the contract will no longer apply. This means the contract won't automatically come to an end at the end of the contracted period. This will not affect the validity of any other terms of your contract. If the limitations are breached, civil penalties could apply to an individual or a company.

What happens if my employer and I disagree about whether a limitation or an exception applies to my fixed term contract?

If you and your employer disagree about whether the limitations or exceptions apply, there are **steps you can take to resolve it**.

Step 1: First, you must try to resolve the disagreement with your employer by discussing the issue with them.



Step 2: If you can't resolve it at the workplace level, you or your employer can refer your dispute to the Fair Work Commission. The Fair Work Commission can deal with disputes about the limitations and exceptions on fixed term contracts. You can also take legal action in the small claims court. Learn more at fairwork.gov.au/smallclaims

If the matter is referred to the Fair Work Commission, they must deal with the disagreement. They can deal with the disagreement in a range of ways including mediation or conciliation. If both parties agree, the Fair Work Commission can deal with the dispute by arbitration (for example, at a hearing).

Depending on your circumstances, you may be able to have someone to support or represent you through the dispute process (which could include a union entitled to represent you).



Evidence

In a formal proceeding (such as a hearing at the Fair Work Commission), if an employer believes a fixed term contract meets the criteria of one of the exceptions, they will have to show evidence to support that the exception applies. Examples of evidence can include financial reports or other contracts, such as funding and commercial contracts.



Get help with conversations in the workplace

Find free online courses to help you have difficult conversations in the workplace at fairwork.gov.au/learning



Can my employer avoid following the rules?

Your employer **can't do certain things** to avoid the rules. These are called the **anti-avoidance** protections. This includes:

- ▶ ending your employment or not re-employing you for a period of time
- ▶ employing someone else to do the same or substantially similar work instead of you, or
- ▶ changing the type of work or tasks that you do or changing your employment relationship.

If an employer does any of these things in order to avoid the rules, it may also be adverse action. Adverse action is where an employer takes an unlawful action against you because you have a workplace right (which includes the fixed term contract rules). If adverse action is found to have occurred, civil penalties could apply. For more information, visit fairwork.gov.au/protections



Who can help?

Fair Work Ombudsman

- ▶ has information and advice about pay and entitlements
- ▶ provides free calculators, templates and online courses
- ▶ helps fix workplace problems
- ▶ enforces workplace laws and seeks penalties for breaches of workplace laws.

Visit fairwork.gov.au or call 13 13 94.

Fair Work Commission

- ▶ deals with disputes about a range of issues, including unfair dismissal, bullying, sexual harassment, discrimination and 'adverse action' at work
- ▶ approves, varies and terminates enterprise agreements
- ▶ makes, reviews and varies awards
- ▶ issues entry permits and resolves industrial disputes
- ▶ regulates registered organisations.

Visit fwc.gov.au or call 1300 799 675.